July 2018 – June 2019

Category review: Chips

Retail Analytics

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Our 17 year history assures best practice in privacy, security and the ethical use of data

Privacy

- We have built our business based on privacy by design principles for the past 17 years
- Quantium has strict protocols around the receipt and storage of personal information
- All information is de-identified using an irreversible tokenisation process with no ability to re-identify individuals.

Security

- We are ISO27001 certified - internationally recognised for our ability to uphold best practice standards across information security
- We use ‘bank grade’ security to store and process our data
- Comply with 200+ security requirements from NAB, Woolworths and other data partners
- All partner data is held in separate restricted environments
- All access to partner data is limited to essential staff only
- Security environment and processes regularly audited by our data partners.

Ethical use of data

Applies to all facets of our work, from the initiatives we take on, the information we use and how our solutions impact individuals, organisations and society.

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We all have a responsibility to use data for good

Quantium believes in using data for progress, with great care and responsibility. As such please respect the commercial in confidence nature of this document.

Executive summary

01 Task 1

Budget - Older Families, Mainstream Young Singles/Couples and Mainstream Retirees drive the majority of chip sales. Mainstream Young Singles/Couples are 23% more likely to buy Tyrrells and prefer larger pack sizes (270g+).

02 Task 2

Trial stores 77 and 88 showed significant uplift in both sales and customers (2/3 trial months). Store 86 showed strong customer growth across all 3 months but mixed sales — recommend investigating pricing. Overall: roll out the new layout.

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Category

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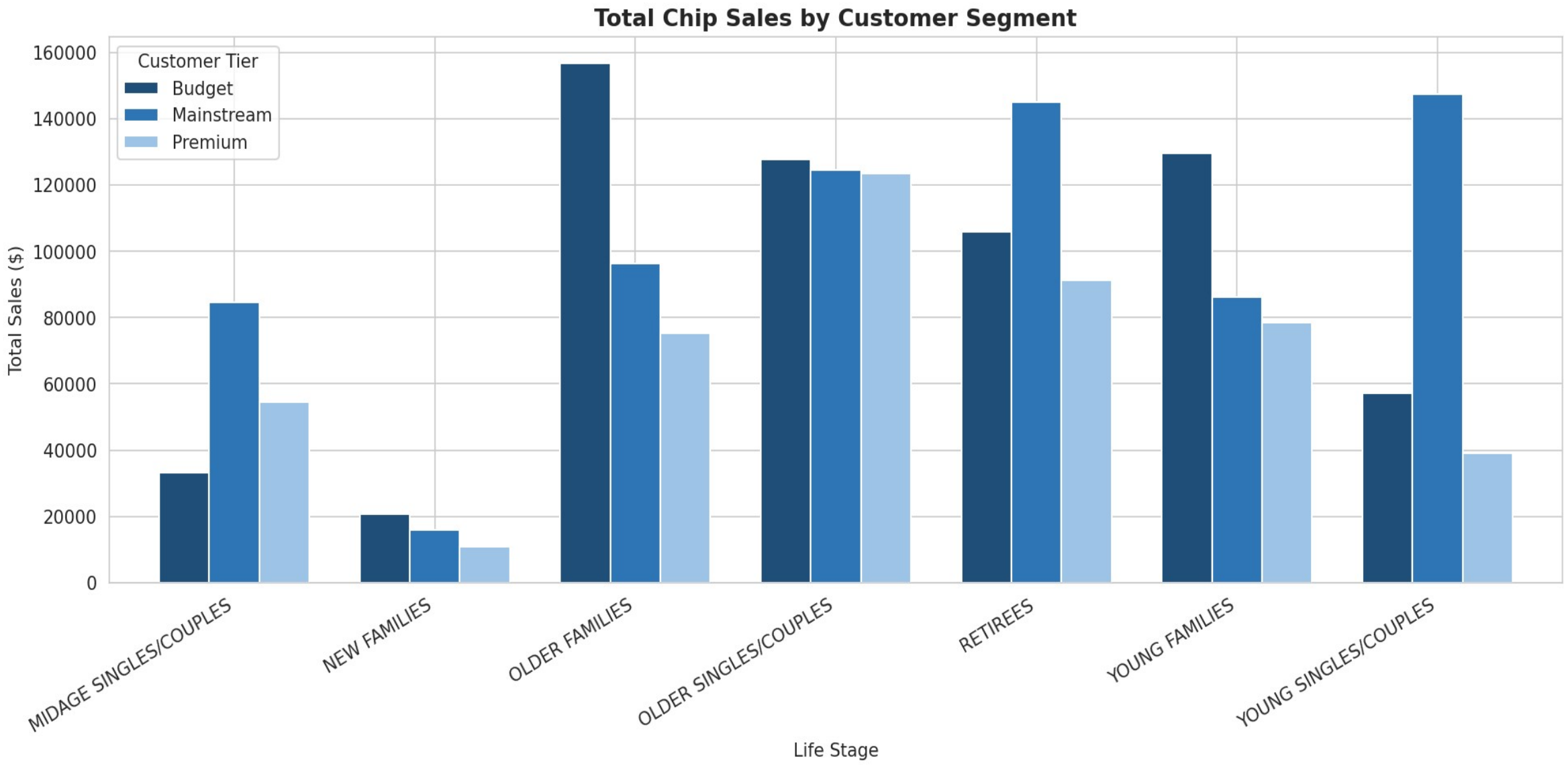
Budget - Older Families: $156,864 | Mainstream Young Singles/Couples: $147,582 | Mainstream Retirees: $145,169



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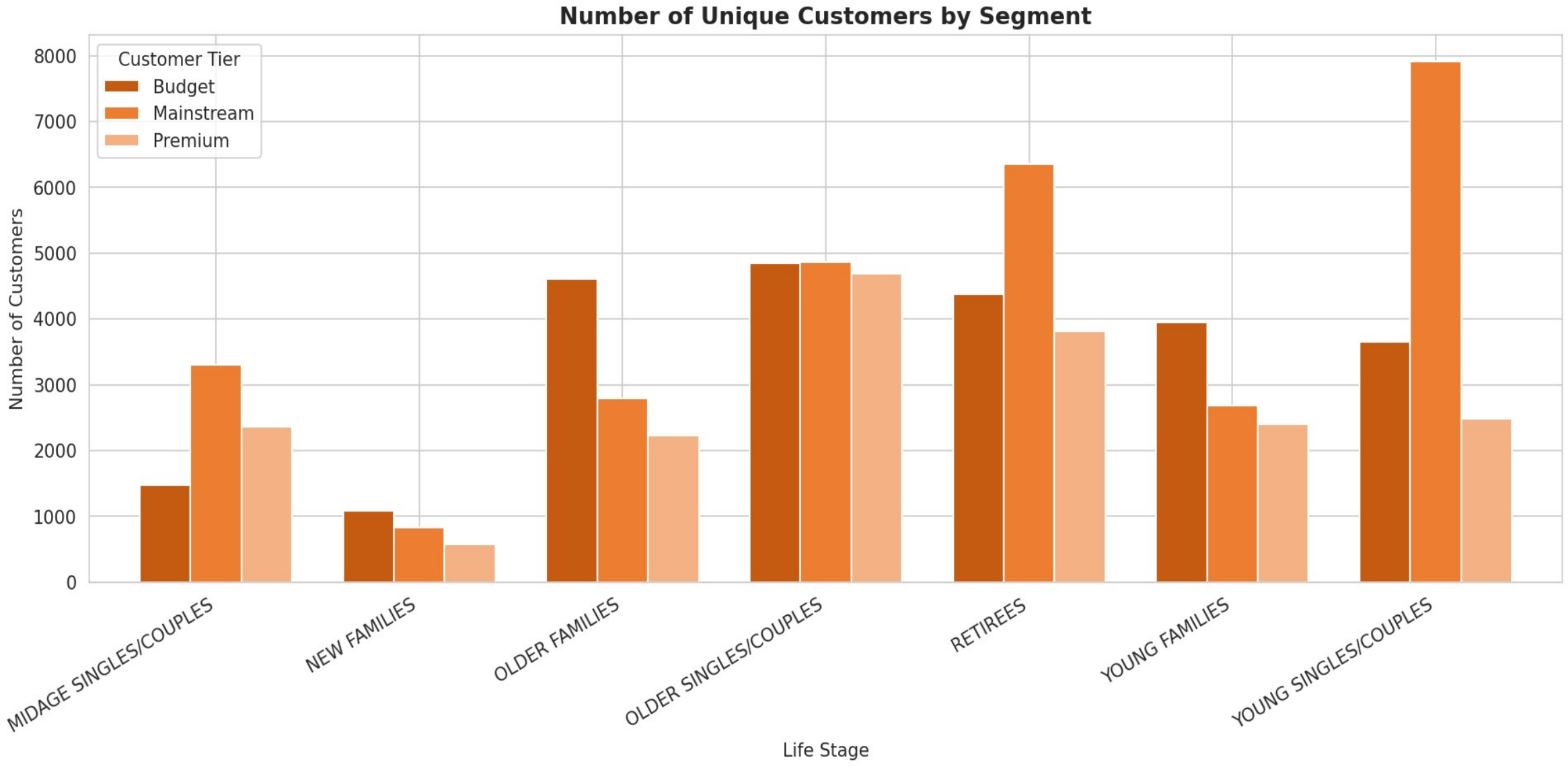
Mainstream Young Singles/Couples and Retirees have the most buyers. Budget Older Families achieve top revenue with fewer customers — higher spend per visit.



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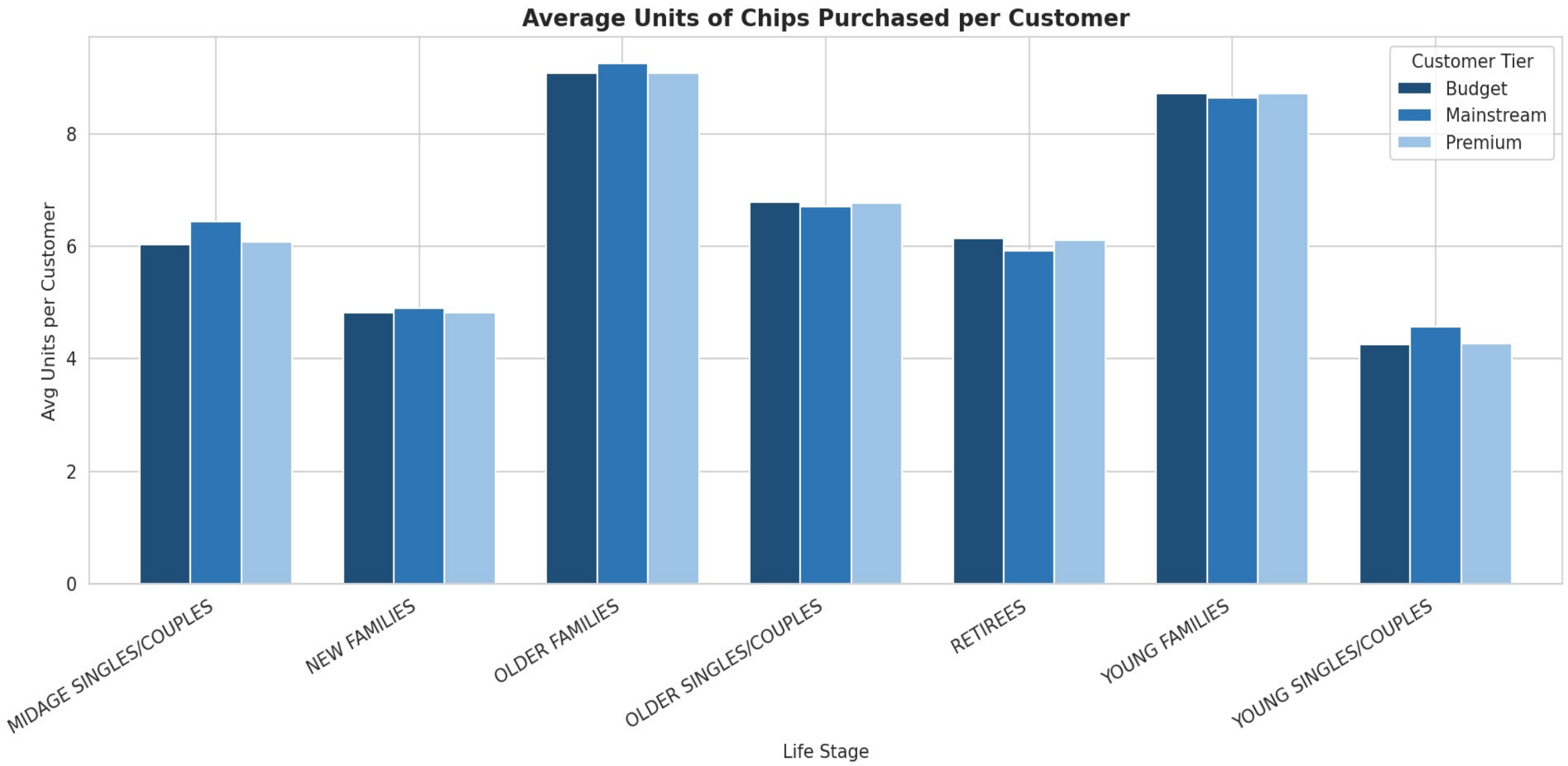
Older Families and Young Families buy significantly more chip units per customer — consistent with bulk household purchasing behaviour.



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Trial store performance

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Control stores were selected using a composite score combining Pearson Correlation and Magnitude Distance on pre-trial monthly sales and customer counts (Jul 2018 – Jan 2019). Selected: Store 233 for Trial 77 | Store 155 for Trial 86 | Store 237 for Trial 88

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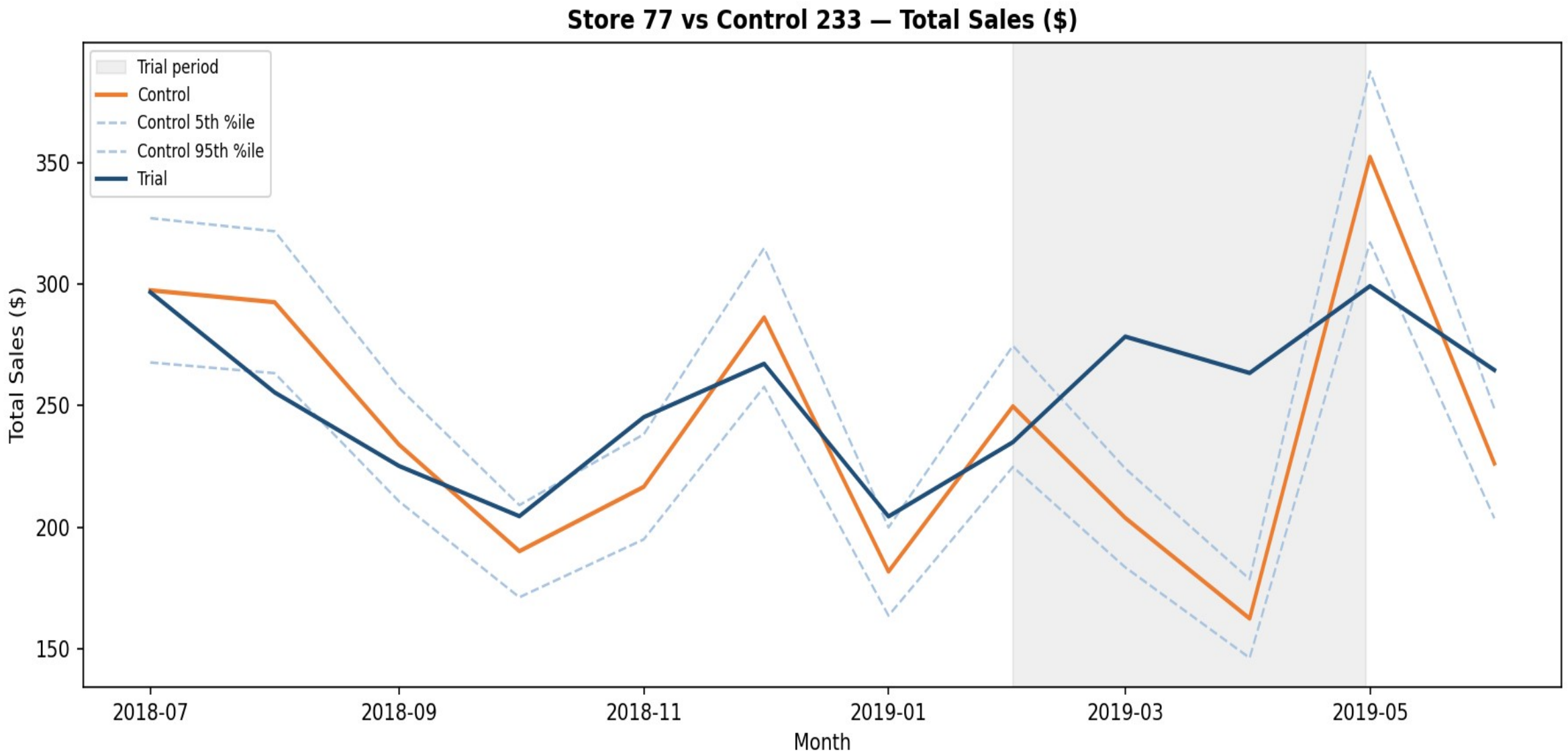
Trial Store 77 vs Control Store 233: Sales and customers significantly exceeded the 95% confidence interval in March and April 2019 (t=7.3 and t=12.5). VERDICT: Trial SUCCESSFUL — recommend rollout.



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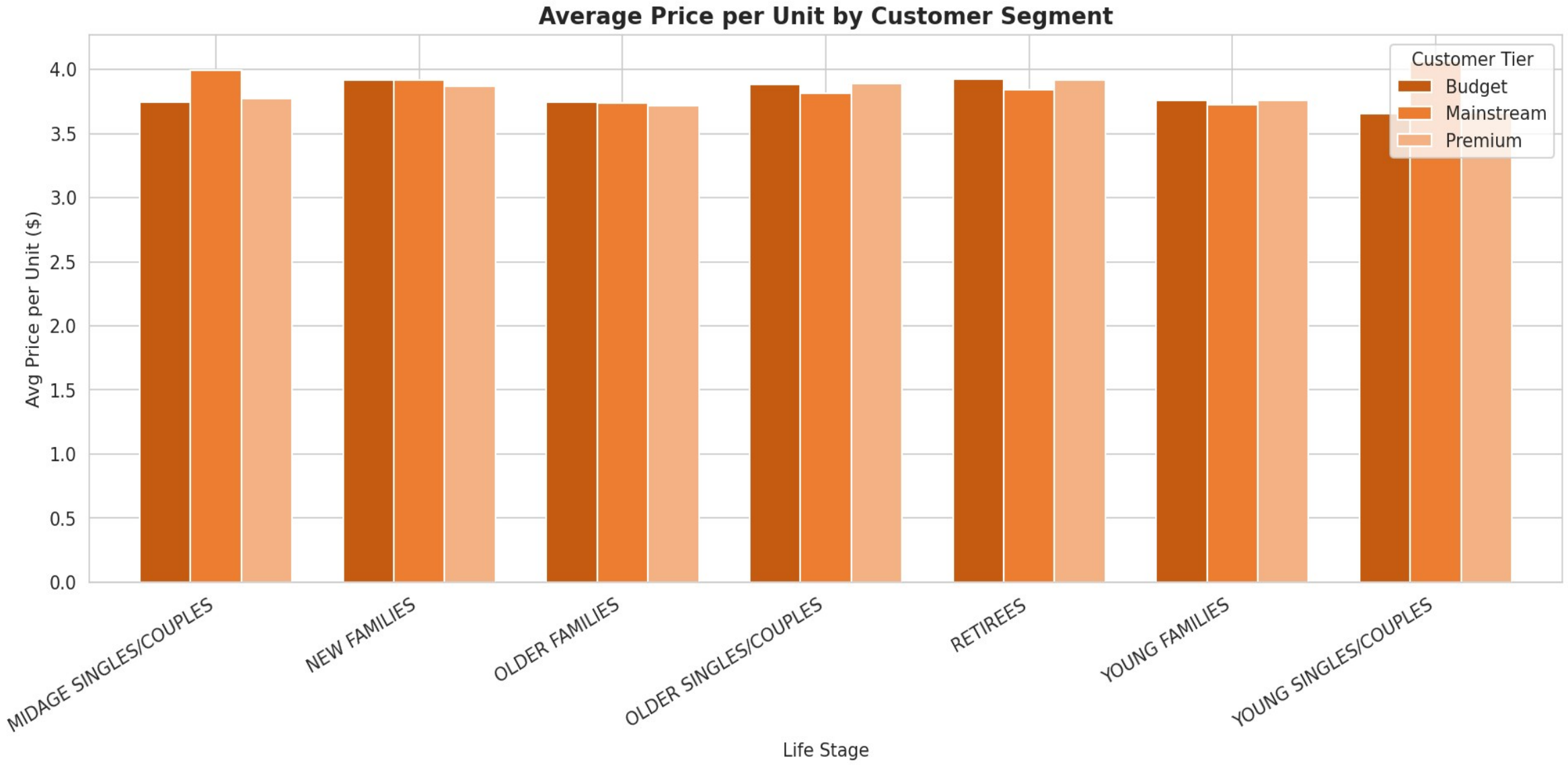
Mainstream Mid-age and Young Singles/Couples pay the most per unit (statistically significant, p<0.001) — impulse-buying behaviour at a slight price premium.



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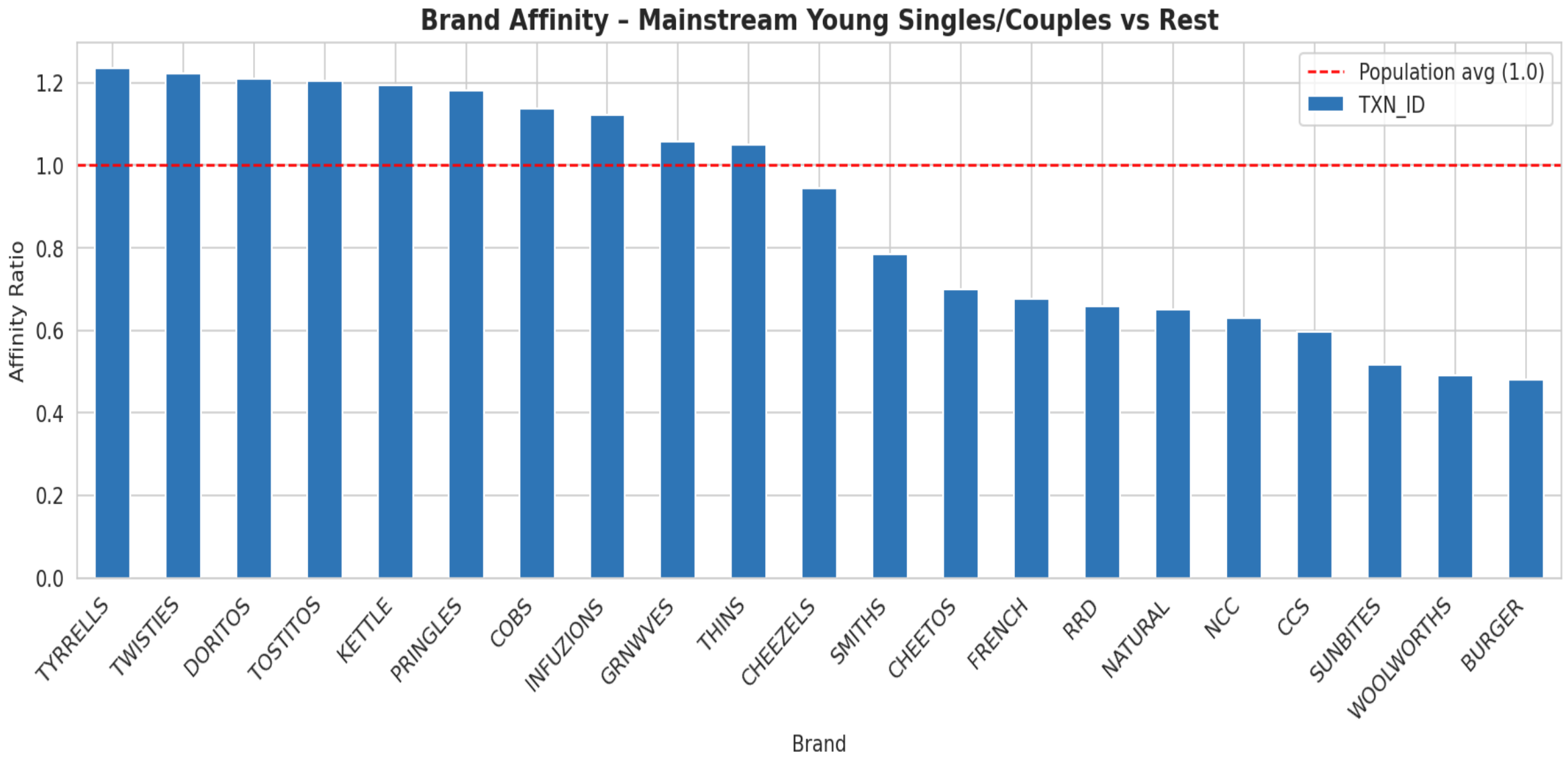
Mainstream Young Singles/Couples over-index on Tyrrells (+24%), Twisties (+22%) and Doritos (+21%) vs the rest of the population. Target promotions on these brands.



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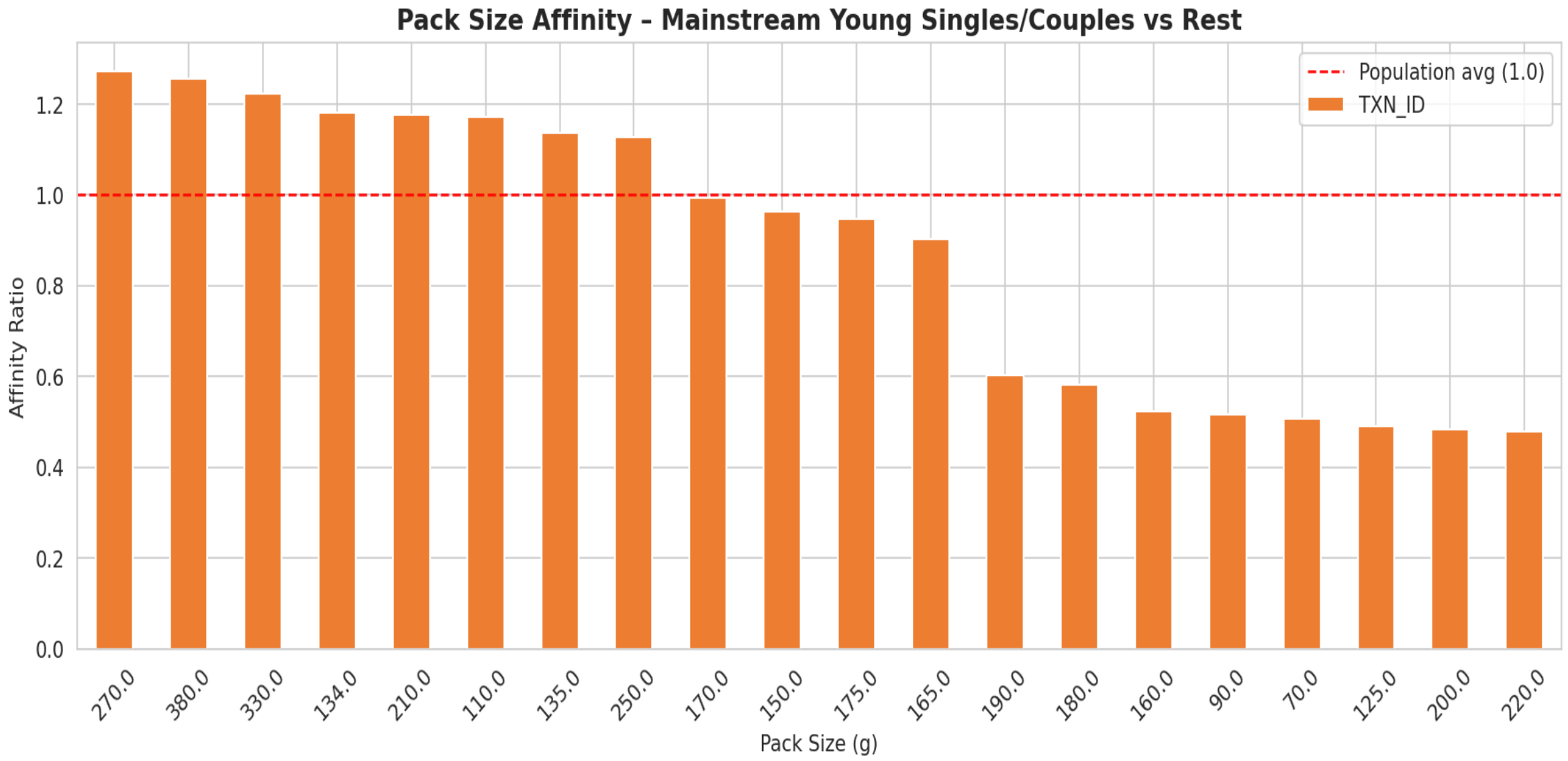
Mainstream Young Singles/Couples are 27% more likely to buy 270g packs. Note: 270g is exclusively Twisties — this reflects brand preference as much as pack size preference.



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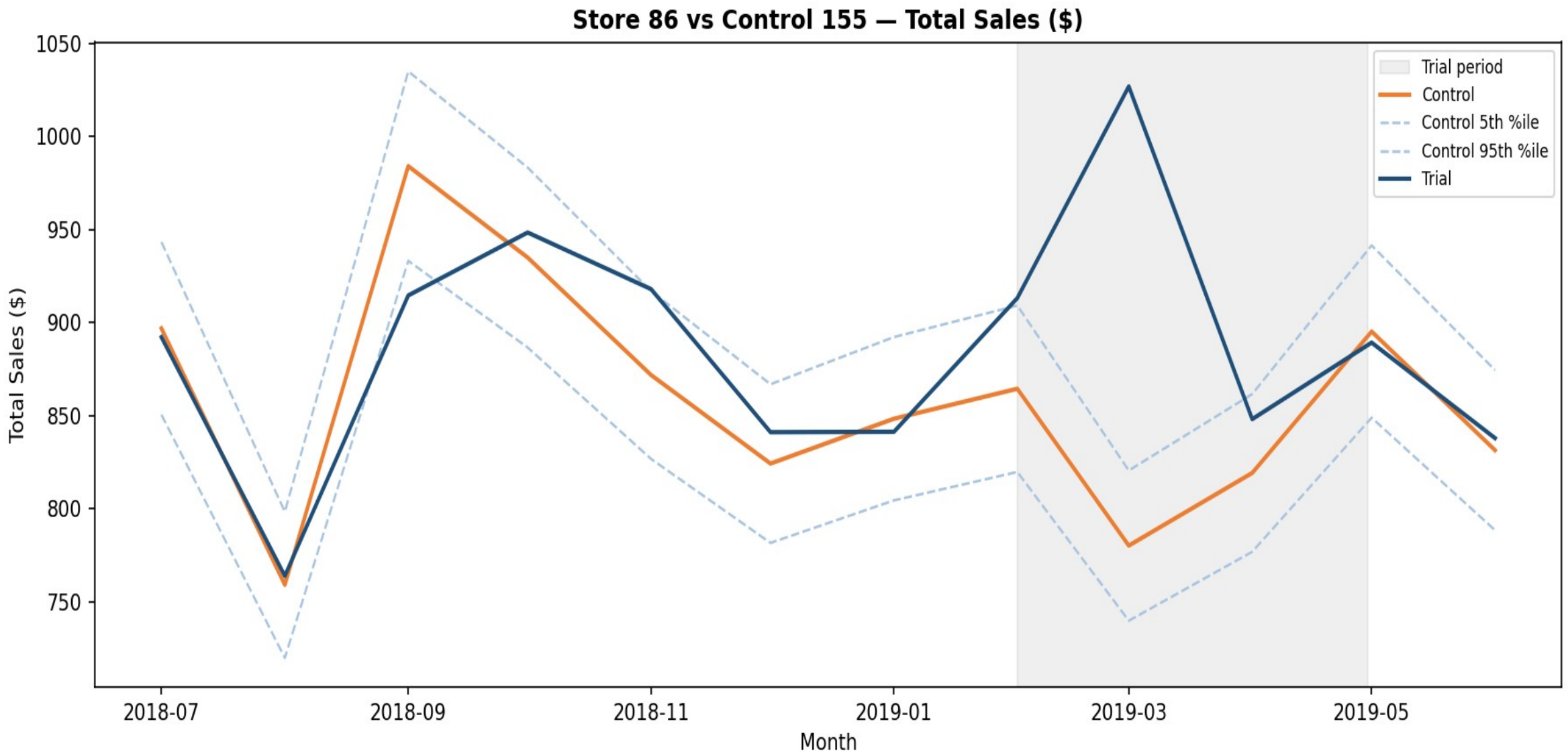
Trial Store 86 vs Control Store 155: Customer numbers significantly higher across all 3 months. Sales significant in 2/3 months — possible in-store discounting. VERDICT: Investigate pricing then roll out.



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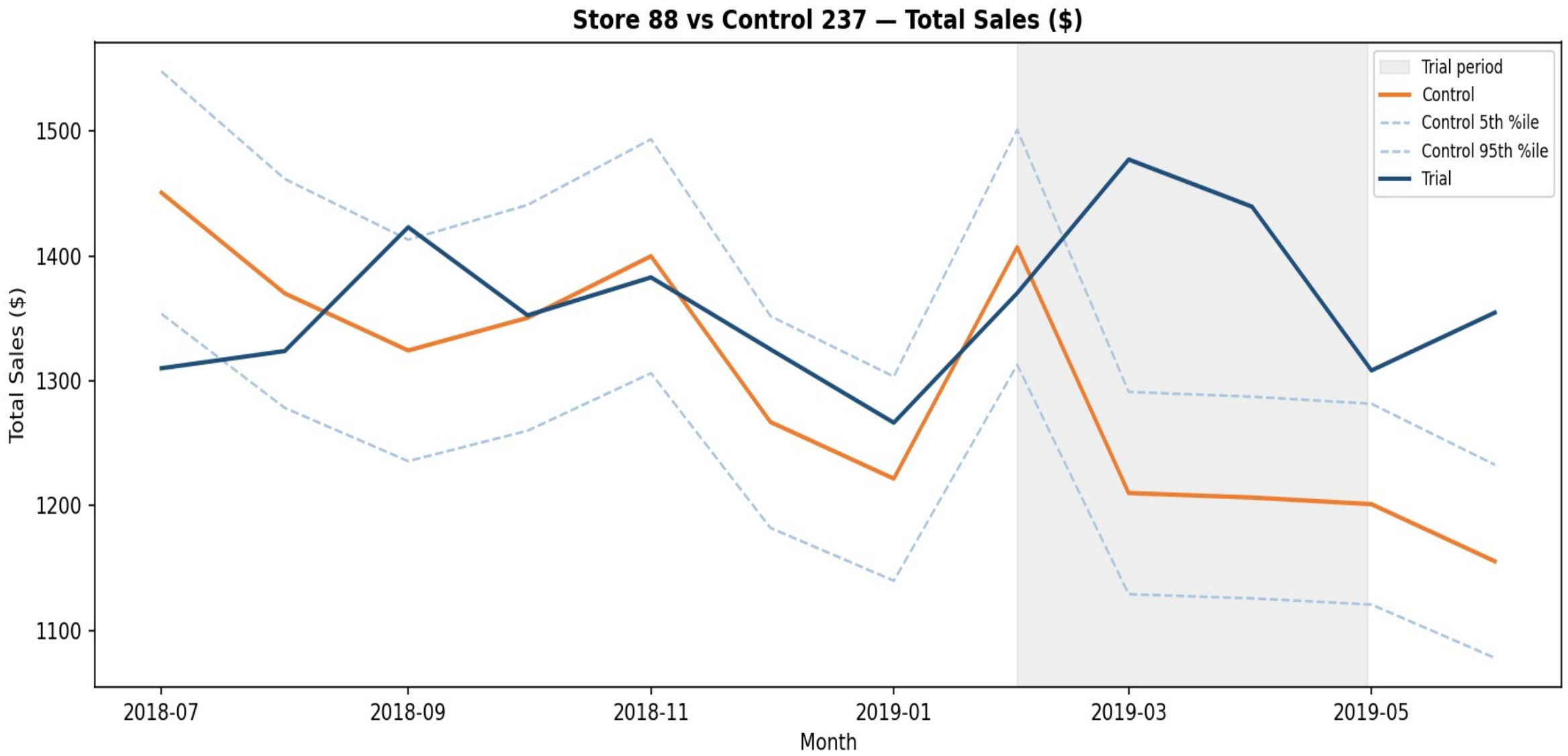
Trial Store 88 vs Control Store 237: Sales and customers significantly exceeded the 95% confidence interval in March and April 2019 (t=6.6 and t=5.8). VERDICT: Trial SUCCESSFUL — recommend rollout.



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Overall Recommendation: The chip category trial was successful.

1. Roll out the new layout to all stores similar to Stores 77 and 88.
2. Investigate Store 86 pricing dynamics before including in rollout.
3. Target Tyrrells, Kettle and Doritos promotions for Mainstream Young Singles/Couples.
4. Ensure strong availability of 175g packs (most popular) and 270g packs for Mainstream Young Singles/Couples.
5. Run promotional activity in the first two weeks of December to capitalise on the Christmas sales spike.

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